

DIRECTIONAL DRILLING SERVICES CONTRACT

DRILLING CAMPAIGN 2025

Contract reference: DDS-2025-118

THIS CONTRACT is made between NORTHGATE PETROLEUM OPERATING COMPANY ("the Company") and MERIDIAN DOWNHOLE SERVICES LTD ("the Contractor") for the provision of directional drilling, performance drilling, measurement while drilling, logging while drilling, reaming and hole enlargement, and hole conditioning services on the wells the Company drills during the term.

The Contract Price is ascertained from the services actually provided, at the rates in Schedule 1 and Schedule 2, as adjusted by Schedules 3 and 6 and by Part III, and invoiced as Part IV requires. No lump sum is agreed other than the lump sums Schedule 1 states.

Commencement date	01 January 2025
Expiry date	31 December 2025
Currency	United States Dollars (USD)
Value Added Tax	15 per cent
Rounding	to the cent, half to even, at each step
Invoicing	per well, within 30 days of period end
Operations	24 hours a day, 7 days a week

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PART I — GENERAL CONDITIONS

1. Definitions

Words defined in Appendix A have those meanings throughout.

2. Contract documents

This Contract comprises this Agreement, Parts I to VII, Schedules 1 to 6 and Appendices A to C. A Schedule prevails over a Part, and Part VI prevails over Parts I to V.

3. Scope

The Contractor shall provide the services described in Schedule 1 on each well the Company nominates by call-off, from spud to release of the drilling rig from that well.

4. Call-off

Each well is called off by a written notice stating the well name, the rig, the field and the well class. The well class stated in the call-off governs the whole well and is not revised while the well is drilled.

5. Term

The Contract runs from the Commencement Date to the Expiry Date.

6. Contractor's personnel

The Contractor shall provide the personnel in Schedule 4, competent and certified for the work, on a rotation that keeps the service continuous.

7. Contractor's equipment

The Contractor shall provide the tools in Schedule 1 in good order, inspected and certified, with backup tools at the rig site where Part V requires them.

8. Company-provided items

The Company provides the drilling rig, drilling fluids, bits, casing and accommodation, and transport of the Contractor's equipment between wells within the same field.

9. Instructions

The Contractor shall act on the written instructions of the Company Representative.

10. Independent contractor

The Contractor is an independent contractor.

11. Liabilities

Each party is responsible for injury to its own personnel and loss of its own property, save as Clause 31 provides for tools lost in the hole.

12. Confidentiality

Well data are the property of the Company and are confidential.

13. Suspension

The Company may suspend the services on any well. A day of suspension recorded as Standby on the Daily Drilling Report is charged under Clause 20.

14. Termination

The Company may terminate the Contract on thirty days' notice without cause.

PART II — OPERATIONS AND FIELD RECORDS

15. Daily Drilling Report

A Daily Drilling Report shall be issued for every day on which the Contractor is on the well. It records the well, the rig, the date, the hole section, the measured depth at the start and end of the day, the status of the day as Operating or Standby, the circulating hours, the BHA run number, the tools in the hole, the Contractor's personnel on the rig, and the number of gyro surveys, formation pressure points, wiper trips, back-reaming hours and clean-out runs. It is signed by the Company Representative and the Contractor's lead directional driller.

16. Other field records

A BHA Run Report is issued at the end of each BHA run and records the run number, the hole section, the first and last day of the run, the tools in the run, the circulating hours, the metres logged and the metres reamed. A Gyro Survey Report is issued for each day on which a gyro survey is taken, a Source Handling Certificate for each run carrying a radioactive source, and a Lost in Hole Report for each tool that cannot be recovered.

PART III — PRICING

17. Rounding

Every amount is ascertained in cents. Where a step of the build-up in Clause 18 produces a fraction of a cent, the result of that step is rounded to the nearest cent before the next step is applied, and a result exactly half way between two cents is rounded to the even cent.

18. Build-up of rates

The rate for a charge is the Schedule 1 rate, or for item PD-210 the Schedule 2 rate, to which is applied, in this order and no other: first the hole section factor in Schedule 3 Part 1, where the service is section-rated; then the well class factor in Schedule 3 Part 2, where the service is class-rated; then the standby percentage in Schedule 3 Part 3, where the day is a Standby day. Each step is rounded under Clause 17. The amount for the charge is the quantity multiplied by the rate so built up.

19. Status of a day

The status of a day, Operating or Standby, and the hole section for that day are as recorded on the Daily Drilling Report for that day. A charge shall state the status and the hole section of the day it is for.

20. Standby

On a Standby day a service is charged at the percentage of its operating rate stated in Schedule 3 Part 3. A service Schedule 3 Part 3 marks as not chargeable is not charged on a Standby day in any quantity.

21. Circulating hours

Item DD-120 is charged per circulating hour recorded on the Daily Drilling Report for an Operating day, subject to a minimum of 6 hours on any Operating day on which the tool is in the hole. On a Standby day item DD-120 is not charged and item DD-121 is charged instead.

22. Personnel and daily limits

Personnel are charged per person-day for the persons recorded on the rig on the Daily Drilling Report. No service is charged on any day in a quantity above the daily limit in Schedule 3 Part 5.

23. Performance drilling footage

Item PD-210 is charged for the metres drilled on the day, taken from the measured depths on the Daily Drilling Report, at the rate of the Schedule 2 depth band in which the metres lie. Where the metres drilled on a day cross a band boundary, the metres in each band are charged as a separate charge stating the depths at which that part starts and ends. A boundary depth belongs to the shallower band. Bands end at 1,500 m, 3,000 m and 4,500 m. Item PD-210 is charged only on the performance-drilled sections nominated in the call-off.

24. Metres logged

Items LW-410, LW-411 and LW-412 are charged for the metres drilled on an Operating day while the tool is in the hole, which are the metres logged.

25. Metres reamed

Item RM-510 is charged for the metres drilled on an Operating day while the underreamer is in the hole, which are the metres reamed.

26. Charges per run

Item DD-111 is charged once for each BHA run carrying a positive displacement motor, on the last day of that run. Item LW-420 is charged once for each BHA run carrying a radioactive source, on the first day of that run.

27. Charges per well

Items MB-701 and DD-140 are charged once for the well, on the first day on the well. Items LW-430 and MB-702 are charged once for the well, on the last day on the well; item LW-430 only where logging while drilling was run.

28. Tools in the hole

A rental charged by the day is charged for a day only where the Daily Drilling Report records the tool in the hole on that day.

29. No double charging

No service is charged twice for the same well and the same day, save that item PD-210 may be charged more than once on a day for different depth intervals under Clause 23.

30. Counts from the report

Gyro surveys, formation pressure points, wiper trips, back-reaming hours and clean-out runs are charged in the numbers recorded on the Daily Drilling Report for an Operating day.

31. Lost in hole

Where a tool cannot be recovered, the charge is its replacement value in Schedule 6 less depreciation of 1 per cent for each complete 25 circulating hours the tool accumulated on the well, as stated on the Lost in Hole Report, to a depreciation of not more than 50 per cent. The result is rounded under Clause 17 and charged as one unit on the day of the loss.

PART IV — INVOICING AND PAYMENT

32. Invoices

The Contractor shall invoice each well separately, for a period of consecutive days on the well. Every charge on an invoice is for a day within the period the invoice states.

33. Submission

An invoice shall not be submitted before the last day of its period and shall be submitted within 30 days after it.

34. Content of a charge

Each charge states the date, the service code, the description, the hole section, the status of the day, the quantity, the unit, the rate and the amount, and for item PD-210 the depths at which the charged interval starts and ends.

35. Units

A charge is stated in the unit Schedule 1 gives for the service, and in no other.

36. Net amount

The net amount of an invoice is the sum of the amounts of its charges, including the discount charge under Clause 38.

37. Documents as a condition of payment

A charge for a service Schedule 5 lists is not payable until the document Schedule 5 names has been delivered for the day or run the charge is for.

38. Discount

Where the sum of the amounts of the services charged on an invoice exceeds 250,000.00 USD, the Contractor allows a discount of 4 per cent of the excess, rounded under Clause 17, stated as a single charge under code DS-900 with a negative amount.

39. Value Added Tax

Value Added Tax is charged at 15 per cent of the net amount of the invoice, rounded under Clause 17.

40. Invoice total

The total of an invoice is its net amount plus Value Added Tax.

41. Disputed charges

The Company may withhold a disputed charge and shall pay the undisputed balance.

42. Payment

The Company shall pay within forty-five days of receipt of a correct invoice.

PART V — TECHNICAL REQUIREMENTS

T1. Survey programme

Surveys shall be taken at intervals not exceeding 30 m in any build or turn section and 90 m in tangent sections.

T2. Survey accuracy

MWD surveys shall meet the ISCWSA error model for the tool; gyro surveys shall be run where magnetic interference is expected.

T3. Anti-collision

No section shall be drilled without an approved anti-collision report for the well.

T4. Rotary steerable systems

Rotary steerable systems shall be capable of dog-leg severities of 6 degrees per 30 m in 12-1/4 inch and 8-1/2 inch hole.

T5. Positive displacement motors

Motors shall be inspected and redressed after every run; redress is charged under Clause 26.

T6. MWD tools

MWD tools shall transmit inclination, azimuth, tool face and gamma ray in real time.

T7. Pressure while drilling

The pressure while drilling module shall record annular and bore pressure at intervals not exceeding 10 seconds.

T8. LWD resistivity

Resistivity shall be measured at no fewer than four depths of investigation.

T9. LWD density and neutron

Density and neutron measurements require a radioactive source handled under Clause H6.

T10. LWD sonic

The sonic tool shall record compressional and shear slowness.

T11. Formation pressure testing

Pressure points shall be taken only at depths the Company Representative approves.

T12. Underreaming

The underreamer shall open the hole to not less than the diameter in the well programme and shall be verified by caliper.

T13. Hole cleaning

Cuttings bed monitoring shall be provided in 12-1/4 inch hole with inclination above 60 degrees.

T14. Jars

Drilling jars shall be run in every BHA below 17-1/2 inch hole where the Company requires.

T15. Backup tools

A backup MWD tool and a backup rotary steerable system shall be kept at the rig site.

T16. Data delivery

Final logs and survey files shall be delivered within fourteen days of the end of the well.

PART VI — PARTICULAR CONDITIONS

P1. Precedence

This Part amends Parts I to V and prevails over them.

P2. High pressure, high temperature wells

A well is HPHT where the call-off so states; the class-rated factor applies to the whole well and not only to the deeper sections.

P3. Extended reach wells

A well is Extended Reach where the call-off so states, whatever the horizontal displacement achieved.

P4. Rig moves

No service is charged for a day on which the rig is moving between wells; such days are not days on the well.

P5. Weather

A day lost to weather is recorded as Standby on the Daily Drilling Report.

P6. Tool failure

Where a tool fails in the hole, the day remains an Operating day for the other services; the failed tool is charged only on days the report records it in the hole.

P7. Crew changes

A person on a crew change day is counted once, whether arriving or departing.

P8. Night working

No uplift is payable for work at night; the rates in Schedule 1 cover continuous operations.

P9. Public holidays

No uplift is payable for work on a public holiday.

P10. Minimum hours

The minimum in Clause 21 applies to each Operating day separately and is not averaged over a run.

P11. Discount basis

The discount under Clause 38 is calculated on each invoice alone and not on the Contractor's invoices taken together.

P12. Lost in hole hours

Circulating hours for Clause 31 are those the tool accumulated on the well on which it was lost, including the day of the loss.

P13. Standby personnel

Personnel are charged on a Standby day at the standby percentage for their position in Schedule 3 Part 3.

P14. Currency of payment

All invoices are stated and paid in USD.

PART VII — HEALTH, SAFETY AND ENVIRONMENT

H1. Compliance

The Contractor shall comply with the Company's HSE management system.

H2. Permits

No work shall start on the rig floor without a valid permit to work.

H3. Dropped objects

Tools shall be secured against dropped objects when in the derrick.

H4. Lifting

Lifting operations shall be planned and supervised by a competent person.

H5. Well control

Contractor personnel shall hold current well control certification.

H6. Radioactive sources

Radioactive sources shall be transported, stored and handled by licensed personnel, with a Source Handling Certificate for every run.

H7. Explosives

No explosives shall be brought to the rig site without written approval.

H8. Hydrogen sulphide

Personnel shall carry H₂S monitors in areas the Company designates.

H9. Fatigue

No person shall work more than twelve hours in any twenty-four.

H10. Incidents

Any incident shall be reported to the Company Representative within one hour.

H11. Waste

Contractor waste shall be removed from the rig site.

H12. Environmental spills

Any spill shall be reported and cleaned up at once.

PART VIII — REPORTING AND DATA

R1. Reporting responsibility

The lead directional driller is responsible for the accuracy of the Contractor's entries on the Daily Drilling Report.

R2. Time of issue

The Daily Drilling Report for a day is issued by 06:00 on the following day.

R3. Depths

Measured depths are stated in whole metres from the rotary table.

R4. Circulating hours

Circulating hours are stated in whole hours, any part hour of thirty minutes or more counting as a whole hour.

R5. Tools in the hole

The report lists by service code every rental tool in the hole at any time during the day.

R6. Personnel

The report states, by service code, the number of the Contractor's personnel on the rig during the day.

R7. Status

The status of the day is recorded by the Company Representative and is final for the purposes of Clause 19.

R8. Corrections

A report may be corrected only by a revision signed by both signatories before the invoice for the day is submitted.

R9. BHA Run Report

The BHA Run Report is issued within two days of the end of the run and totals the circulating hours and metres of the Daily Drilling Reports for the run.

R10. Survey data

Survey data are delivered in the Company's format within twelve hours of each survey.

R11. Log data

LWD data are delivered in real time where the tools allow and in memory form at the end of each run.

R12. Retention of records

The Contractor shall retain all field records for seven years after the end of the Contract.

SCHEDULE 1 — SERVICE RATES

Rates are in USD, exclusive of Value Added Tax, and are adjusted under Clause 18. Item PD-210 is rated in Schedule 2 and items LH-711 to LH-714 under Clause 31.

Series 100 — Directional Drilling

Code	Description	Unit	Rate (USD)
DD-101	Directional driller, 24-hour coverage	person-day	1,847.35
DD-102	Directional coordinator, office based	day	948.60
DD-110	Positive displacement motor rental	day	1,417.75
DD-111	Motor redress and inspection	run	3,589.45
DD-120	Rotary steerable system, circulating	hour	384.15
DD-121	Rotary steerable system on standby	day	2,893.65
DD-130	Gyro survey	survey	2,446.15
DD-140	Well planning and anti-collision study	well	12,489.50

Series 200 — Performance Drilling

Code	Description	Unit	Rate (USD)
PD-201	Drilling optimisation engineer	person-day	2,094.85
PD-210	Performance drilling footage	metre	Schedule 2
PD-220	Downhole vibration mitigation tool	day	1,148.35
PD-230	Drilling dynamics memory sub	day	639.15

Series 300 — Measurement While Drilling

Code	Description	Unit	Rate (USD)
MW-301	MWD engineer	person-day	1,646.55
MW-310	MWD directional and gamma tool	day	2,245.85
MW-320	Pressure while drilling module	day	779.65
MW-330	Real-time data transmission	day	309.75

Series 400 — Logging While Drilling

Code	Description	Unit	Rate (USD)
LW-401	LWD engineer	person-day	1,898.45
LW-410	LWD resistivity, logged	metre	11.37
LW-411	LWD density and neutron, logged	metre	16.83
LW-412	LWD sonic, logged	metre	13.29
LW-413	Formation pressure tester, per pressure point	point	1,849.65
LW-420	Radioactive source handling	run	2,746.55

Code	Description	Unit	Rate (USD)
LW-430	LWD data processing and final log	well	8,394.75

Series 500 — Reaming and Hole Enlargement

Code	Description	Unit	Rate (USD)
RM-510	Hydraulic underreaming, reamed	metre	38.45
RM-511	Underreamer rental	day	1,379.15
RM-520	Roller reamer and stabiliser rental	day	419.85
RM-530	Back-reaming while tripping	hour	264.55

Series 600 — Hole Conditioning

Code	Description	Unit	Rate (USD)
HC-601	Hole cleaning circulating sub	day	689.35
HC-610	Wiper trip supervision	trip	1,947.15
HC-620	Drilling jar rental	day	539.65
HC-630	Casing drift and clean-out run	run	4,295.85
HC-640	Cuttings bed monitoring	day	719.55

Series 700 — Mobilisation and Lost in Hole

Code	Description	Unit	Rate (USD)
MB-701	Mobilisation to rig site	well	18,497.50
MB-702	Demobilisation from rig site	well	14,196.25
LH-711	Lost in hole, positive displacement motor	each	Clause 31
LH-712	Lost in hole, rotary steerable system	each	Clause 31
LH-713	Lost in hole, MWD tool	each	Clause 31
LH-714	Lost in hole, LWD resistivity tool	each	Clause 31

SCHEDULE 2 — PERFORMANCE DRILLING DEPTH BANDS

Item PD-210 is charged at the rate for the band in which the metres lie (Clause 23). A boundary depth belongs to the shallower band.

Band	Measured depth	Rate per metre (USD)
Band 1	0 m to 1,500 m	42.35
Band 2	over 1,500 m to 3,000 m	58.15
Band 3	over 3,000 m to 4,500 m	76.45
Band 4	over 4,500 m	98.70

The rate is class-rated under Schedule 3 Part 2 and is not section-rated.

Part 2 — Metres drilled in the Contract Year

The rate for item PD-210 is taken at the percentage below according to the metres already drilled on the well in the Contract Year (Clause 3A). Metres are counted from zero at the start of each Contract Year, and an interval that crosses a band is divided at the band.

Band	Metres in the Contract Year	Per cent of rate
Band 1	1 m to 40,000 m	100%
Band 2	40,001 m to 120,000 m	96%
Band 3	above 120,000 m	92%

SCHEDULE 2C — INDEXED SERVICES

The services below are priced against the Rig Services Index, base 100.00.(Clause 17A). The rate stated in Schedule 1 for them is a base rate.

Code	Description	Base rate	Unit
MW-310	MWD directional and gamma tool	2,245.85	day
HC-620	Drilling jar rental	539.65	day

Rig Services Index, as published:

Month	Index	Month	Index
2025-01	100.00	2026-01	109.30
2025-02	100.70	2026-02	110.00
2025-03	101.50	2026-03	110.60
2025-04	102.30	2026-04	111.40
2025-05	103.10	2026-05	110.90
2025-06	103.60	2026-06	112.20
2025-07	104.80	2026-07	113.00
2025-08	105.40	2026-08	112.60
2025-09	104.90	2026-09	113.90
2025-10	106.20	2026-10	114.70
2025-11	107.10	2026-11	115.30
2025-12	108.00	2026-12	116.10

SCHEDULE 2D — REPLACEMENT VALUES IN SAUDI RIYALS

The tools were bought in riyals and the values below are stated in SAR. They are converted into the currency of the Contract under Clause 31A at the rate published for the month of the loss.

Code	Tool	Replacement value (SAR)
LH-711	Lost in hole, positive displacement motor	543,750.00
LH-712	Lost in hole, rotary steerable system	4,687,500.00
LH-713	Lost in hole, MWD tool	1,443,750.00
LH-714	Lost in hole, LWD resistivity tool	1,950,000.00

Rate of exchange, as published:

Month	Halalas per USD	Month	Halalas per USD
2025-01	375.00	2026-01	376.00
2025-02	375.10	2026-02	375.80
2025-03	375.00	2026-03	375.90
2025-04	374.90	2026-04	376.20
2025-05	375.20	2026-05	376.40
2025-06	375.30	2026-06	376.10
2025-07	375.10	2026-07	375.70
2025-08	375.00	2026-08	376.30
2025-09	374.80	2026-09	376.60
2025-10	375.40	2026-10	376.80
2025-11	375.60	2026-11	377.00
2025-12	375.50	2026-12	376.50

SCHEDULE 3 — FACTORS, STANDBY AND LIMITS

Part 1 — Hole section factors

Hole section	Factor
26"	1.315
17-1/2"	1.145
12-1/4"	1.00
8-1/2"	0.945
6"	0.885

Section-rated services: DD-110, DD-120, PD-220, MW-310, RM-510, RM-511.

Part 2 — Well class factors

Well class	Factor
Standard	1.00
Extended Reach	1.175
HPHT	1.325

Class-rated services: DD-120, PD-210, MW-310, MW-320, LW-410, LW-411, LW-412, LW-413.

Part 3 — Standby charges

The percentage of the operating rate charged on a Standby day (Clause 20). Services charged per well or for a loss are charged in full whatever the status of the day.

Code	Description	Standby charge
DD-101	Directional driller, 24-hour coverage	80%
DD-102	Directional coordinator, office based	100%
DD-110	Positive displacement motor rental	50%
DD-111	Motor redress and inspection	100%
DD-120	Rotary steerable system, circulating	Not chargeable
DD-130	Gyro survey	Not chargeable
PD-201	Drilling optimisation engineer	80%
PD-210	Performance drilling footage	Not chargeable
PD-220	Downhole vibration mitigation tool	50%
PD-230	Drilling dynamics memory sub	50%
MW-301	MWD engineer	80%
MW-310	MWD directional and gamma tool	50%
MW-320	Pressure while drilling module	50%
MW-330	Real-time data transmission	100%
LW-401	LWD engineer	80%

Code	Description	Standby charge
LW-410	LWD resistivity, logged	Not chargeable
LW-411	LWD density and neutron, logged	Not chargeable
LW-412	LWD sonic, logged	Not chargeable
LW-413	Formation pressure tester, per pressure point	Not chargeable
LW-420	Radioactive source handling	100%
RM-510	Hydraulic underreaming, reamed	Not chargeable
RM-511	Underreamer rental	50%
RM-520	Roller reamer and stabiliser rental	50%
RM-530	Back-reaming while tripping	Not chargeable
HC-601	Hole cleaning circulating sub	50%
HC-610	Wiper trip supervision	Not chargeable
HC-620	Drilling jar rental	50%
HC-630	Casing drift and clean-out run	Not chargeable
HC-640	Cuttings bed monitoring	Not chargeable

Part 4 — Services charged only on a Standby day

DD-121 is charged only on a Standby day, in place of item DD-120 (Clause 21).

Part 5 — Daily limits

Code	Description	Limit per day	Unit
DD-101	Directional driller, 24-hour coverage	2	person-day
DD-102	Directional coordinator, office based	1	day
DD-110	Positive displacement motor rental	1	day
DD-120	Rotary steerable system, circulating	24	hour
DD-121	Rotary steerable system on standby	1	day
DD-130	Gyro survey	3	survey
PD-201	Drilling optimisation engineer	1	person-day
PD-220	Downhole vibration mitigation tool	1	day
PD-230	Drilling dynamics memory sub	1	day
MW-301	MWD engineer	2	person-day
MW-310	MWD directional and gamma tool	1	day
MW-320	Pressure while drilling module	1	day
MW-330	Real-time data transmission	1	day
LW-401	LWD engineer	1	person-day
LW-413	Formation pressure tester, per pressure point	12	point

Code	Description	Limit per day	Unit
RM-511	Underreamer rental	1	day
RM-520	Roller reamer and stabiliser rental	1	day
RM-530	Back-reaming while tripping	24	hour
HC-601	Hole cleaning circulating sub	1	day
HC-610	Wiper trip supervision	2	trip
HC-620	Drilling jar rental	1	day
HC-640	Cuttings bed monitoring	1	day

Part 6 — Charges once per well

DD-140, LW-430, MB-701, MB-702 (Clause 27).

Part 7 — Minimum hours

DD-120: not less than 6 hours on an Operating day (Clause 21).

SCHEDULE 4 — PERSONNEL

Code	Position	Normally on the rig
DD-101	Directional driller	2, whole well
DD-102	Directional coordinator	1, office based, whole well
MW-301	MWD engineer	2, whole well
LW-401	LWD engineer	1, while LWD tools are in the hole
PD-201	Drilling optimisation engineer	1, performance-drilled sections

The number charged on a day is the number recorded on the Daily Drilling Report (Clause 22), not the number shown here.

SCHEDULE 5 — THE DAILY DRILLING REPORT AND ITS PARTS

One Daily Drilling Report is issued for each well and day (Clause 19). It carries the operations summary and, as numbered parts, every other record this Contract makes a condition of payment. There are no separate run, survey, source or loss documents.

Part	Contents	Completed
A	Operations summary: section, status, depths, circulating hours, BHA run number, tools in hole, personnel on the rig, and the quantities measured that day	every day
B	BHA run record: run number, first and last day of the run, tools in the run, circulating hours, metres logged and reamed, and whether a radioactive source was carried	every day of a run
C	Gyro survey record: surveys taken that day	a day on which surveys were taken
D	Radioactive source handling: the sources handled and their certification	a day on which a source was run
E	Lost in hole: the tool, its service code, the run, and the circulating hours accumulated on the well at the time of the loss	a day on which a tool was lost

A charge for a service below is not payable until the part named has been completed in the Daily Drilling Report for the day or run the charge is for (Clause 37). A part that does not apply to the day is omitted; a part that applies and is absent is a record not delivered.

Code	Description	Record required
DD-111	Motor redress and inspection	Daily Drilling Report, Part B
DD-130	Gyro survey	Daily Drilling Report, Part C
LW-410	LWD resistivity, logged	Daily Drilling Report, Part B
LW-411	LWD density and neutron, logged	Daily Drilling Report, Part B
LW-412	LWD sonic, logged	Daily Drilling Report, Part B
LW-413	Formation pressure tester, per pressure point	Daily Drilling Report, Part B
LW-420	Radioactive source handling	Daily Drilling Report, Part D
RM-510	Hydraulic underreaming, reamed	Daily Drilling Report, Part B
LH-711	Lost in hole, positive displacement motor	Daily Drilling Report, Part E
LH-712	Lost in hole, rotary steerable system	Daily Drilling Report, Part E
LH-713	Lost in hole, MWD tool	Daily Drilling Report, Part E
LH-714	Lost in hole, LWD resistivity tool	Daily Drilling Report, Part E

SCHEDULE 6 — LOST IN HOLE REPLACEMENT VALUES

Code	Tool	Replacement value (USD)
LH-711	Positive displacement motor	145,000.00
LH-712	Rotary steerable system	1,250,000.00
LH-713	MWD directional and gamma tool	385,000.00
LH-714	LWD resistivity tool	520,000.00

Depreciation is 1 per cent for each complete 25 circulating hours, to not more than 50 per cent (Clause 31).

SCHEDULE 7 — TOOL SPECIFICATIONS

Minimum specifications for the tools the Contractor provides. The hole sections shown are those the tool is designed for; which tools are in the hole on a day, and are charged, is as the Daily Drilling Report records (Clause 28).

Tool	Hole section	Max temperature	Max pressure	Flow range
Positive displacement motor 9-5/8"	26", 17-1/2"	150 C	25,000 psi	3,000-4,500 lpm
Positive displacement motor 4-3/4"	6"	175 C	30,000 psi	600-1,100 lpm
Rotary steerable system 9"	12-1/4"	150 C	25,000 psi	2,000-3,800 lpm
Rotary steerable system 6-3/4"	8-1/2"	175 C	30,000 psi	1,100-2,400 lpm
MWD directional and gamma, 9-1/2"	26", 17-1/2"	150 C	25,000 psi	2,500-5,500 lpm
MWD directional and gamma, 8"	12-1/4"	175 C	30,000 psi	1,800-4,200 lpm
MWD directional and gamma, 4-3/4"	8-1/2", 6"	175 C	30,000 psi	600-2,000 lpm
Pressure while drilling module	12-1/4", 8-1/2"	175 C	30,000 psi	any
LWD resistivity, 6-3/4"	8-1/2"	175 C	30,000 psi	900-2,400 lpm
LWD resistivity, 4-3/4"	6"	175 C	30,000 psi	500-1,100 lpm
LWD density and neutron	8-1/2"	150 C	25,000 psi	900-2,400 lpm
LWD sonic	8-1/2"	150 C	25,000 psi	900-2,400 lpm
Formation pressure tester	8-1/2"	150 C	25,000 psi	900-2,200 lpm
Hydraulic underreamer 9-7/8" x 12-1/4"	12-1/4"	150 C	20,000 psi	2,000-3,600 lpm
Roller reamer	17-1/2"	150 C	20,000 psi	any
Downhole vibration mitigation tool	12-1/4"	150 C	25,000 psi	any
Drilling dynamics memory sub	12-1/4"	175 C	30,000 psi	any
Hole cleaning circulating sub	17-1/2"	150 C	20,000 psi	up to 5,000 lpm
Drilling jar, hydraulic-mechanical	all	175 C	30,000 psi	any
Gyro survey tool	26", 17-1/2"	125 C	15,000 psi	not circulating

SCHEDULE 8 — SCOPE OF SERVICES

What each service covers and the event its charge is for. Item DD-102 is office based and is charged per day for each coordinator the Daily Drilling Report records.

Code	Service	Charged for
DD-101	Directional driller, 24-hour coverage	each person recorded on the rig on the Daily Drilling Report, per day
DD-102	Directional coordinator, office based	each day the Daily Drilling Report records the tool in the hole
DD-110	Positive displacement motor rental	each day the Daily Drilling Report records the tool in the hole
DD-111	Motor redress and inspection	each BHA run, as Clause 26 describes
DD-120	Rotary steerable system, circulating	each circulating or back-reaming hour recorded on the report
DD-121	Rotary steerable system on standby	each day the Daily Drilling Report records the tool in the hole
DD-130	Gyro survey	each gyro survey recorded on the report
DD-140	Well planning and anti-collision study	once for the well, as Clause 27 describes
PD-201	Drilling optimisation engineer	each person recorded on the rig on the Daily Drilling Report, per day
PD-210	Performance drilling footage	each metre drilled, logged or reamed as Clauses 23 to 25 describe
PD-220	Downhole vibration mitigation tool	each day the Daily Drilling Report records the tool in the hole
PD-230	Drilling dynamics memory sub	each day the Daily Drilling Report records the tool in the hole
MW-301	MWD engineer	each person recorded on the rig on the Daily Drilling Report, per day
MW-310	MWD directional and gamma tool	each day the Daily Drilling Report records the tool in the hole
MW-320	Pressure while drilling module	each day the Daily Drilling Report records the tool in the hole
MW-330	Real-time data transmission	each day the Daily Drilling Report records the tool in the hole
LW-401	LWD engineer	each person recorded on the rig on the Daily Drilling Report, per day
LW-410	LWD resistivity, logged	each metre drilled, logged or reamed as Clauses 23 to 25 describe

Code	Service	Charged for
LW-411	LWD density and neutron, logged	each metre drilled, logged or reamed as Clauses 23 to 25 describe
LW-412	LWD sonic, logged	each metre drilled, logged or reamed as Clauses 23 to 25 describe
LW-413	Formation pressure tester, per pressure point	each formation pressure point recorded on the report
LW-420	Radioactive source handling	each BHA run, as Clause 26 describes
LW-430	LWD data processing and final log	once for the well, as Clause 27 describes
RM-510	Hydraulic underreaming, reamed	each metre drilled, logged or reamed as Clauses 23 to 25 describe
RM-511	Underreamer rental	each day the Daily Drilling Report records the tool in the hole
RM-520	Roller reamer and stabiliser rental	each day the Daily Drilling Report records the tool in the hole
RM-530	Back-reaming while tripping	each circulating or back-reaming hour recorded on the report
HC-601	Hole cleaning circulating sub	each day the Daily Drilling Report records the tool in the hole
HC-610	Wiper trip supervision	each wiper trip recorded on the report
HC-620	Drilling jar rental	each day the Daily Drilling Report records the tool in the hole
HC-630	Casing drift and clean-out run	each BHA run, as Clause 26 describes
HC-640	Cuttings bed monitoring	each day the Daily Drilling Report records the tool in the hole
MB-701	Mobilisation to rig site	once for the well, as Clause 27 describes
MB-702	Demobilisation from rig site	once for the well, as Clause 27 describes
LH-711	Lost in hole, positive displacement motor	each tool lost in the hole, as Clause 31 describes
LH-712	Lost in-hole, rotary steerable system	each tool lost in the hole, as Clause 31 describes
LH-713	Lost in hole, MWD tool	each tool lost in the hole, as Clause 31 describes
LH-714	Lost in hole, LWD resistivity tool	each tool lost in the hole, as Clause 31 describes

APPENDIX A — DEFINITIONS

BHA run	the period from the running of a bottom hole assembly into the hole to its recovery.
Circulating hours	hours during which drilling fluid is pumped through the tool, as recorded on the Daily Drilling Report.
Company Representative	the person the Company appoints on the rig.
Day	a calendar day from 00:00 to 24:00.
Hole section	the part of a well drilled with one bit size, identified by that size.
Operating day	a day recorded as Operating on the Daily Drilling Report.
Standby day	a day recorded as Standby on the Daily Drilling Report.
Well class	Standard, Extended Reach or HPHT, as stated in the call-off.
Performance-drilled section	a 12-1/4 inch or 8-1/2 inch section of a well the call-off nominates for performance drilling.

APPENDIX B — FORM OF INVOICE

Charges on an HPHT well, showing a Standby day, the circulating-hour minimum not engaged, and footage split at a band boundary.

Date	Code	Section	Status	Depths	Qty	Rate	Amount
03-Jun-2025	DD-101	12-1/4"	Standby		2	1,477.88	2,955.76
04-Jun-2025	MW-310	12-1/4"	Operating		1	2,975.75	2,975.75
04-Jun-2025	DD-120	12-1/4"	Operating		18	509.00	9,162.00
04-Jun-2025	PD-210	12-1/4"	Operating	2,930-3,000	70	58.15	4,070.50
04-Jun-2025	PD-210	12-1/4"	Operating	3,000-3,085	85	76.45	6,498.25
Net amount (below the discount threshold)							25,662.26
Value Added Tax at 15 per cent							3,849.34
Invoice total							29,511.60

On an invoice whose services total 312,400.00, the discount charge under Clause 38 is -2,496.00.

APPENDIX C — INSURANCES AND NOTICES

Policy	Minimum	Period
Employer's liability	10,000,000 USD	Throughout
General liability	25,000,000 USD	Throughout
Equipment all risks	Replacement value	Throughout
Pollution liability	15,000,000 USD	Throughout
The Company	Northgate Petroleum Operating Company, Drilling Department, Muscat	
The Contractor	Meridian Downhole Services Ltd, Contracts Manager, Nizwa	

EXECUTION

For and on behalf of the Company _____

For and on behalf of the Contractor _____

APPENDIX D — FORM OF DAILY DRILLING REPORT

Illustrative only. The report for each day on the well is issued in this form (Clauses 15 and R1 to R8).

Well / Rig	NGP-XX-000 / NG-Rig 00
Date	04-Jun-2025
Hole section	12-1/4"
Status of day	Operating
Depth start / end (m MD)	2,930 / 3,085
Circulating hours	18
BHA run number	4
Tools in hole	DD-120, MW-310, MW-320, MW-330, HC-620, HC-640
Personnel on rig	DD-101 x2, DD-102 x1, MW-301 x2, PD-201 x1
Gyro surveys / pressure points	0 / 0
Wiper trips / back-reaming hours / clean-out runs	0 / 0 / 0
Signed	Company Representative; lead directional driller

APPENDIX E — FORM OF BHA RUN REPORT

Illustrative only. Issued at the end of each run (Clauses 16 and R9).

Well / Run	NGP-XX-000 / Run 4
Hole section	12-1/4"
First day / last day	01-Jun-2025 / 06-Jun-2025
Tools in run	DD-120, MW-310, MW-320, MW-330, HC-620, HC-640
Circulating hours	104
Metres logged	0
Metres reamed	0
Radioactive source carried	No
Signed	Lead directional driller; MWD engineer

APPENDIX F — FORMS OF GYRO SURVEY AND LOST IN HOLE REPORTS

Illustrative only (Clause 16).

Gyro Survey Report

Well	NGP-XX-000
Date	12-Feb-2025
Hole section	17-1/2"
Surveys taken	2
Signed	Survey engineer; Company Representative

Lost in Hole Report

Well	NGP-XX-000
Date	22-Aug-2025
Run	6
Service code	LH-713
Tool	MWD directional and gamma tool
Circulating hours accumulated on the well	412
Signed	Company Representative; Contractor's field manager

With 412 hours the depreciation under Clause 31 is 16 per cent.

PART IX — PARTICULAR CONDITIONS (SECOND SERIES)

3A. Contract Years

The first Contract Year runs from the Commencement Date to the day before its first anniversary, and each following Contract Year from that anniversary. The final Contract Year ends on the Expiry Date as extended by any Amendment; an extension does not begin a new Contract Year.

17A. Indexed rates

The rate for a service listed in Schedule 2C is the base rate stated in Schedule 1 multiplied by the Rig Services Index published for the calendar month in which the service was performed and divided by the base index, rounded half to even. That figure is the rate for the purposes of Clause 17.

17B. Factors that do not apply

The hole-section factor in Schedule 3 Part 1 is not applied on a day the rig is on Standby, the section not being drilled. The well-class factor in Schedule 3 Part 2 is not applied to item PD-210, Schedule 2 having already priced the metre by depth.

19A. The Daily Drilling Report and its number

Each Daily Drilling Report bears a number in the series DDR, and that number is quoted against every line of that day on the invoice. The report is written by the Contractor's supervisor in the ordinary words of the rig and does not repeat the descriptions in Schedule 1 or carry the service codes.

21A. Chargeable Hour

For a service charged by the hour, the first hour of each period in the hole is rig-up and is not a Chargeable Hour. The report states the hours run; the invoice charges one fewer.

25A. Tolerance on metres

Metres charged not exceeding the metres the report supports by more than 1 per cent are payable as charged. Metres exceeding that are payable at the figure the report supports.

31A. Replacement values

The replacement values in Schedule 2D are stated in SAR and are converted into the currency of the Contract at the rate of exchange published in that Schedule for the month in which the tool was lost, rounded half to even, before the depreciation in Clause 31 is applied. Schedule 6 states the same values in the currency of the Contract as they stood when it was let, and Schedule 2D governs.

36A. Amendments taking effect before their date of issue

Where an Amendment substitutes a rate with effect from a date before the date it was issued, an invoice submitted before that date of issue was correct at the rate then in force. The difference on services already invoiced is shown as a single adjustment on the first invoice submitted on or after the date of issue, and on no other.

APPENDIX G — TERMS USED IN THE FIELD REPORTS

The Daily Drilling Report is written in the ordinary words of the rig (Clause 19A). The terms below are the ones it uses for the items Schedule 1 prices.

Code	As Schedule 1 describes it	As the report writes it
DD-101	Directional driller, 24-hour coverage	directional hands
DD-102	Directional coordinator, office based	night man
DD-110	Positive displacement motor rental	mud motor
DD-120	Rotary steerable system, circulating	rotary steerable
HC-601	Hole cleaning circulating sub	circulating sub
HC-620	Drilling jar rental	drilling jars
HC-640	Cuttings bed monitoring	float sub
LH-711	Lost in hole, positive displacement motor	mud motor
LH-712	Lost in hole, rotary steerable system	rotary steerable
LH-713	Lost in hole, MWD tool	MWD collar
LH-714	Lost in hole, LWD resistivity tool	gamma tool
LW-401	LWD engineer	logging engineers
LW-410	LWD resistivity, logged	gamma tool
LW-411	LWD density and neutron, logged	resistivity tool
LW-412	LWD sonic, logged	density-neutron
MW-301	MWD engineer	MWD engineers
MW-310	MWD directional and gamma tool	MWD collar
MW-320	Pressure while drilling module	survey package
MW-330	Real-time data transmission	real-time link
PD-201	Drilling optimisation engineer	performance engineer
PD-220	Downhole vibration mitigation tool	bit and reamer
PD-230	Drilling dynamics memory sub	hydraulics package
RM-511	Underreamer rental	hole opener
RM-520	Roller reamer and stabiliser rental	stabiliser string

A tool lost in the hole is recorded by the term above; the item charged is the replacement value Schedule 6 states against it.

SCHEDULE OF VARIATIONS

This Contract is to be read with the instruments below, in the order issued. Each takes effect on its own effective date and governs services performed on or after it; nothing in an instrument reopens a service already charged at the rate then chargeable.

Instrument	Issued	Effective	What it changes
Supplement No. 1	2025-05-19	2025-07-01	rates: DD-120, DD-121; monthly rate: HC-601
Amendment No. 1	2025-11-07	2026-01-01	expiry to 2026-06-30; rates: DD-101, MW-301, LW-401
Supplement No. 2	2026-02-24	2026-04-01	monthly rate: DD-120; 4 per cent on DD-101, MW-301, LW-401, DD-120, MB-701
Amendment No. 2	2026-05-21	2026-07-01	expiry to 2026-12-31; rates: MW-301, MB-701; 7 per cent on DD-101, MW-301, LW-401, DD-120, MB-701
Amendment No. 3	2026-08-17	2026-02-01	rates: DD-120, DD-101

The Term as let ran from 1 January 2025 to 31 December 2025. As twice extended it runs from 1 January 2025 to 31 December 2026.

A rate stated in Schedule 1 is the rate chargeable only until an instrument substitutes another for it. Pricing a service therefore requires the date on which it was performed, not the date of the invoice.

SUPPLEMENT NO. 1 TO CONTRACT DDS-2025-118

Reference DDS-2025-118/S1. Issued 19 May 2025 and taking effect 1 July 2025.

Re-publication of the tool rental rates under Clause 19.3, the parties having agreed that the rates in Schedule 1 no longer reflect the cost of the steerable fleet.

1.1 Substituted rates

The rates below are substituted for the rates in Schedule 1 for services performed on or after the effective date stated against each. Services performed before that date are charged at the rate previously chargeable. Schedule 2 footage rates are unaffected.

Code	Description	Unit	Rate previously chargeable	Rate Effective chargeable	
DD-120	Rotary steerable system, circula	hour	384.15	398.50	2025-07-01
DD-121	Rotary steerable system on stand	day	2,893.65	2,984.00	2025-07-01

1.2 Monthly re-publication, item HC-601

Item HC-601 (Hole cleaning circulating sub) is re-published monthly against the Circulating Equipment Index (Gulf, per day). The rate chargeable is the rate published for the calendar month in which the service was performed. Where a service is performed in a month later than the last month stated below, the rate last published applies until it is superseded.

Month of performance	Rate chargeable
July 2025	701.50
August 2025	714.00
September 2025	722.60
October 2025	719.80
November 2025	731.00
December 2025	736.40

Save as stated above, the Contract is unchanged and remains in full force. Where this instrument and an earlier instrument both state a rate or a discount for the same service, the later governs services performed on or after its effective date, and the earlier governs services performed before it.

AMENDMENT NO. 1 TO CONTRACT DDS-2025-118

Reference DDS-2025-118/A1. Issued 7 November 2025 and taking effect 1 January 2026.

Extension of the Term for the second phase of the campaign, and the anniversary escalation of the personnel day rates under Clause 19.1.

1.1 Extension of the Term

The Expiry Date stated in the Form of Agreement is extended to 30 June 2026 (extension of the Term, 181 days). The Commencement Date is unchanged. Services performed on or before the extended Expiry Date are chargeable under this Contract; services performed after it are not.

1.2 Substituted rates

The rates below are substituted for the rates in Schedule 1 for services performed on or after the effective date stated against each. Services performed before that date are charged at the rate previously chargeable. Schedule 2 footage rates are unaffected.

Code	Description	Unit	Rate previously chargeable	Rate Effective chargeable	Effective
DD-101	Directional driller, 24-hour cov	person-day	1,847.35	1,916.50	2026-01-01
MW-30	IMWD engineer	person-day	1,646.55	1,708.00	2026-01-01
LW-401	LWD engineer	person-day	1,898.45	1,969.00	2026-01-01

Save as stated above, the Contract is unchanged and remains in full force. Where this instrument and an earlier instrument both state a rate or a discount for the same service, the later governs services performed on or after its effective date, and the earlier governs services performed before it.

SUPPLEMENT NO. 2 TO CONTRACT DDS-2025-118

Reference DDS-2025-118/S2. Issued 24 February 2026 and taking effect 1 April 2026.

Discount on the principal services, the Operator having committed a second rig to this Contract. This discount is applied to the rate and is separate from the Clause 38 volume discount on the invoice subtotal.

2.1 Monthly re-publication, item DD-120

Item DD-120 (Rotary steerable system, circulating) is re-published monthly against the Steerable Tool Index (Gulf, per hour). The rate chargeable is the rate published for the calendar month in which the service was performed. Where a service is performed in a month later than the last month stated below, the rate last published applies until it is superseded.

Month of performance	Rate chargeable
April 2026	406.00
May 2026	411.50
June 2026	411.50
July 2026	423.00
August 2026	429.50
September 2026	434.00
October 2026	434.00
November 2026	441.00
December 2026	447.50

2.2 Discount on principal services

A discount of 4 per cent is allowed on the services listed below for services performed on or after 1 April 2026. The discount is applied to the rate, as the last factor in the build-up required by Clause 17 and before the rounding it requires. It is separate from, and taken before, the Clause 38 discount on the invoice subtotal. Services performed before that date carry no discount.

Code	Description
DD-101	Directional driller, 24-hour coverage
MW-301	MWD engineer
LW-401	LWD engineer
DD-120	Rotary steerable system, circulating
MB-701	Mobilisation to rig site

Save as stated above, the Contract is unchanged and remains in full force. Where this instrument and an earlier instrument both state a rate or a discount for the same service, the later governs services performed on or after its effective date, and the earlier governs services performed before it.

AMENDMENT NO. 2 TO CONTRACT DDS-2025-118

Reference DDS-2025-118/A2. Issued 21 May 2026 and taking effect 1 July 2026.

Second extension of the Term to the end of the campaign, the second anniversary escalation, and the deepening of the Supplement No. 2 discount.

2.1 Extension of the Term

The Expiry Date stated in the Form of Agreement is extended to 31 December 2026 (second extension of the Term, 184 days). The Commencement Date is unchanged. Services performed on or before the extended Expiry Date are chargeable under this Contract; services performed after it are not.

2.2 Substituted rates

The rates below are substituted for the rates in Schedule 1 for services performed on or after the effective date stated against each. Services performed before that date are charged at the rate previously chargeable. Schedule 2 footage rates are unaffected.

Code	Description	Unit	Rate previously chargeable	Rate Effective chargeable	Effective
MW-30IMWD	engineer	person-day	1,708.00	1,763.00	2026-07-01
MB-701	Mobilisation to rig site	well	18,497.50	19,237.00	2026-07-01

2.3 Discount on principal services

A discount of 7 per cent is allowed on the services listed below for services performed on or after 1 July 2026. The discount is applied to the rate, as the last factor in the build-up required by Clause 17 and before the rounding it requires. It is separate from, and taken before, the Clause 38 discount on the invoice subtotal. Services performed before that date carry no discount.

Code	Description
DD-101	Directional driller, 24-hour coverage
MW-301	MWD engineer
LW-401	LWD engineer
DD-120	Rotary steerable system, circulating
MB-701	Mobilisation to rig site

Save as stated above, the Contract is unchanged and remains in full force. Where this instrument and an earlier instrument both state a rate or a discount for the same service, the later governs services performed on or after its effective date, and the earlier governs services performed before it.

AMENDMENT NO. 3 TO CONTRACT DDS-2025-118

Reference DDS-2025-118/A3. Issued 17 August 2026 and taking effect 1 February 2026.

Settlement of the Contractor's rate review under Clause 16.4. The rates below are substituted with effect from 1 February 2026, which is before the date of this Amendment. Services performed on or after that date and already invoiced shall be re-priced at the substituted rates and the difference shown as a single adjustment on the first invoice submitted after the date of issue (Clause 36A).

3.1 Substituted rates

The rates below are substituted for the rates in Schedule 1 for services performed on or after the effective date stated against each. Services performed before that date are charged at the rate previously chargeable. Schedule 2 footage rates are unaffected.

Code	Description	Unit	Rate previously chargeable	Rate Effective chargeable	Effective
DD-120	Rotary steerable system, circula	hour	398.50	416.00	2026-02-01
DD-101	Directional driller, 24-hour cov	person-day	1,916.50	1,954.00	2026-02-01

Save as stated above, the Contract is unchanged and remains in full force. Where this instrument and an earlier instrument both state a rate or a discount for the same service, the later governs services performed on or after its effective date, and the earlier governs services performed before it.